

Facing Foreclosure

The number of home foreclosures is at an all-time high, and the rising popularity of interest-only loans and ARMs allows borrowers to buy bigger, more expensive houses. If you fail to make your mortgage payments for ninety days, your lender will probably start foreclosure proceedings to take over your house and sell it to get back the money they lent you. If the house sells for less than you owe on it, they could sue you for the difference. Obviously foreclosure is a major black mark on your credit record and will affect your ability to obtain credit in the future.



You may find lower refinancing interest rates than your current lender advertises, but don't rule your lender out without talking to your loan officer. Sometimes banks and credit unions will waive certain fees or offer a slight rate discount for current customers.

Act Quickly to Prevent Foreclosure

There are things you can do to help prevent foreclosure. If you anticipate having trouble making payments, contact your lender immediately and explain your situation. Your lender may be willing to come up with a new payment plan that takes your current situation into consideration. You may be able to refinance the loan, extend the term, or spread the missed payments out over several months. If you have an FHA mortgage, you may have other alternatives as well. Your lender doesn't want to foreclose, but the lender can't work with you unless you're willing. For instance, Bank of America, Wells Fargo, and Citibank have all recently announced loan forgiveness programs to reduce mortgage balances as much as 30 percent.